

ASK Automotive Limited

Company Overview:

ASK Automotive Limited is the largest manufacturer of brake-shoe and advanced braking (AB) systems for two-wheelers (2W) in India with a market share of approximately 50% in FY23 in terms of production volume for original equipment manufacturers (OEMs) and the branded independent aftermarket (IAM), on a combined basis. The company has been supplying safety systems and critical engineering solutions for more than three decades with in-house designing, developing and manufacturing capabilities. The company's offerings are powertrain agnostic, catering to electric vehicle (EV) as well as internal combustion engine (ICE) OEMs. The brand ASK is recognised as the leading brand in the 2W IAM in terms of production volume for FY23 in India.

Key Highlights:

1. Product offerings: The company offers (a) AB systems, (b) Aluminum lightweight precision (ALP) solutions, where the company is a prominent player for 2W OEMs in India with a market share of 9% in FY23 in terms of production volume, (c) wheel assembly to 2W OEMs, and (d) safety control cables (SCC) products. The company supplies the portfolio of AB systems, ALP solutions, wheel assembly, and SCC products to OEMs in (a) the automotive sector for 2Ws, three wheelers (3Ws), passenger vehicles (PVs) and commercial vehicles (CVs), and (b) the non-automotive sector for all-terrain vehicles (ATVs), power tools and outdoor equipment.

2. Marquee customers base: The company supplies products to all of the top six 2W OEMs in India, the largest motorized 2W market in the world, with domestic sales of 16.3 mn units during FY23. In FY22, the company has commenced commercial supplies to 2W EV OEMs in India, including TVS Motor Company Limited, Ather Energy Private Limited, Hero MotoCorp Limited, Greaves Electric Mobility Private Limited, Bajaj Auto Limited and Revolt Intellicorp Private Limited. The company have long standing relationships with all six of the top 2W OEM customers ranging from 16 years to 30 years.

3. Manufacturing Facility: As of June'23, the company has operated 15 manufacturing facilities across five states in India, the majority of which are strategically located in close proximity to the OEM customers. The company recently commenced commercial manufacturing operations at the 16th manufacturing facility in Bhiwadi (Rajasthan) in July'23.

4. R&D technical collaborations: The company has entered into technology licensing arrangements with global companies as follows: (a) a Japanese manufacturer of asbestos-free brake shoes supplying to 2W manufacturers globally, (b) NUCAP Industries Inc., Canada (NUCAP) a global player in patented retention systems (mechanical bonding) for disc brake pads in the 2W, PV and CV sectors, and (c) Safety Control Cable Ind. Co. Limited (HSH) an SCC manufacturer serving automobile OEMs globally. The company also have a license agreement with a research organization in the defence sector, pursuant to which the company has licensed a semi-solid metal processing technology for aluminium casting for the ALP solutions.

Valuation: The company is valued at FY23PE multiple of 45.2x and EV/EBITDA of 24.8x, at the upper price band on post-issue capital. The company is the market leader with more than 50% market share in brake-shoe and ABS, and is supplier to the major Two Wheelers OEMs in India. The company also enjoys healthy return ratios. We recommend investors to subscribe the issue for a long-term investment horizon.

Issue Details

Date of Opening	7 th November 23
Date of Closing	9 th November 23
Price Band (Rs)	268 – 282
Issue Size (Rs cr)	792 – 834
No. of shares	2,95,71,390 (100% OFS)
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	5,283 – 5,559
BRLMs	JM Financial, Axis Capital, ICICI Securities, IIFL Securities
Registrar	Link Intime India Private Limited
Bid Lot	53 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB (HNI) shares	15%

Shareholding Pattern

Pre-Issue	No. of Shares	%
Promoter & Promoter Group	19,71,42,600	100.0
Public & Others	0	0.0
Total	19,71,42,600	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	16,75,71,210	85.0
Public & Others	2,95,71,390	15.0
Total	19,71,42,600	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	16,75,71,210	85.0
Public & Others	2,95,71,390	15.0
Total	19,71,42,600	100.0

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	3MFY23	3MFY24
Revenue from operation (Rs cr)	1,544	2,013	2,555	604	657
EBITDA (Rs cr)	186	171	236	49	64
Profit (Rs cr)	106	83	123	23	35
EBITDA Margin (%)	12.1	8.5	9.3	8.1	9.7
Profit Margin (%)	6.9	4.1	4.8	3.7	5.3
EPS	5.4	4.2	6.2	1.1*	1.8*
PE (x)**	52.3	67.3	45.2	246.5*	159.6*
P/BV (x)***	8.9	8.8	8.6	8.5*	8.2*
ROE (%)	17.1	13.1	19.1	3.4*	5.1*
ROCE (%)	22.5	16.0	19.4	4.5*	4.7*
Debt / Equity (x)	0.1	0.3	0.5	0.3*	0.6*

* Not Annualized

** PE(x) is calculated on upper price band

*** P/BV (x) is calculated on upper price band

Source: RHP, SSL Research

Risk Factors

- **Revenue concentration:** A significant portion (more than 80%) of the revenue from operations in FY21/FY22/FY23, and 3MFY23/3MFY24 is attributable to the Indian two-wheeler automotive sector. Any adverse changes in the two wheeler automotive sector could adversely impact the business, results of operations and financial condition.
- **Customers:** The company is dependent on the top three customers who contribute more than 50% of the revenue from operations with the single largest customer contributing approximately 30%.
- **Raw material:** The business and profitability is substantially dependent on the availability and cost of the raw materials, including aluminium, and any disruption to the timely and adequate supply of raw materials, or volatility in the prices of raw materials may adversely impact the business, results of operations and financial condition.
- **Market share:** The company may not be successful in implementing the growth strategies, particularly increasing the market share in the evolving electric vehicle market, which could have an adverse effect on the business, financial condition, cash flows and results of operations.

Growth Strategy

- **Electrifications:** Further strengthen position in the growing EV sector in India.
- **R&D:** Continue to focus on the design, research and development (R&D) and engineering capabilities to develop innovative systems and solutions, as well as improve the manufacturing efficiencies.
- **Product offering:** Further diversify product offerings in the AB systems and ALP solutions categories and expand to addressable market.
- **Exports:** Leverage export opportunities and enter new markets.

Revenue from Operations

Particulars (Rs cr)	FY21	FY22	FY23	3MFY23	3MFY24
AB systems*	817	929	1,067	266	249
ALP Solutions	490	756	993	239	281
Wheel assembly**	169	241	351	72	90
SCC products	44	51	89	15	23
Others***	25	37	54	12	14
Revenue from operations	1,544	2,013	2,555	604	657

* Excluding revenue of our Joint Venture ASK FRAS-LE Friction Private Limited (AFFPL).

** Revenue from providing wheel assembly services for 2W OEMs.

*** Others include revenue from scrap, dies and other unallocable sales.

Source: RHP, SSL Research

Revenue from ICE and EV OEMs

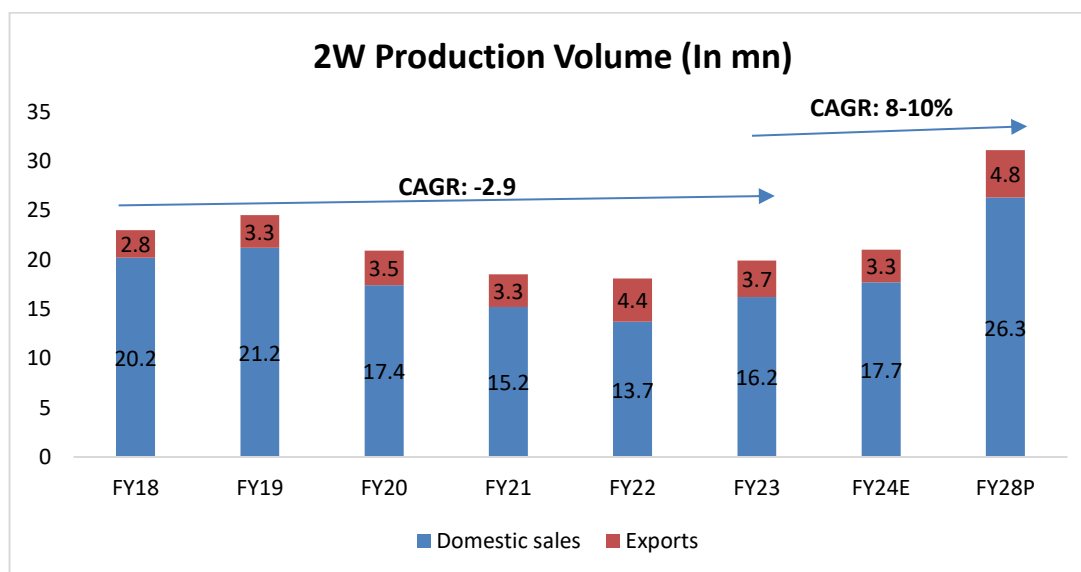
Particulars (Rs cr)	FY21	FY22	FY23	3MFY23	3MFY24
2W OEM ICE	1,082	1,445	1,896	445	473
2W OEM EV	0	9	45	8	27
Total revenue from 2W OEM	1,082	1,454	1,941	453	500

Source: RHP, SSL Research

Industry Overview

2W Production Volume

The Indian 2W production grew at a CAGR of -2.9% between FY18 and FY23, because of lower output in FY20, owing to the transition to BS-VI norms and the COVID-19 pandemic-triggered challenges in FY21. As per Crisil MI&A, 2W exports from India is expected to log a CAGR of 5-7% between FY23 and FY28, compared with 5.3% between FY18 and FY23.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	1,544	2,013	2,555
% YoY growth	-	30.4%	26.9%
Cost Of Revenues (incl Stock Adj)	998	1,393	1,782
Gross Profit	546	620	773
Gross margins	35.4%	30.8%	30.3%
Employee Cost	102	123	139
Other Operating Expenses	257	326	398
EBITDA	186	171	236
EBITDA margins	12.1%	8.5%	9.3%
Other Income	24	11	11
Net Interest Exp.	11	8	11
Depreciation	52	56	61
PBT	147	118	176
Tax	37	30	47
Adj PAT	106	83	123
PAT margin (%)	6.9%	4.1%	4.8%
Adj. EPS	5.4	4.2	6.2

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	408	463	456
Capital WIP	10	3	118
Intangible Assets under development	13	93	87
Other Non current Assets	219	210	219
Current Assets			
Inventories	113	124	154
Trade receivables	159	201	210
Cash and Bank Balances	19	2	2
Short-term loans and advances	0	0	3
Other Current Assets	8	10	31
Total Current Assets	298	337	400
Current Liabilities & Provisions			
Trade payables	149	179	170
Other current liabilities	34	60	79
Short-term provisions	5	12	14
Total Current Liabilities	188	251	263
Net Current Assets	110	86	137
Total Assets	760	854	1,018
Liabilities			
Share Capital	41	40	39
Reserves and Surplus	582	592	604
Total Shareholders Funds	622	632	644
Total Debt	80	160	318
Long Term Provisions	24	24	26
Other Long Term Liabilities	34	38	31
Total Liabilities	760	854	1,018

CASH FLOW (Rs cr)	FY21	FY22	FY23
Cash flow from Operating Activities	128	144	139
Cash flow from Investing Activities	-6	-80	-161
Cash flow from Financing Activities	-107	-81	23
Free Cash Flow	80	58	-16

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets	11.2	7.5	9.6
Return on Capital	22.5	16.0	19.4
Return on Equity	17.1	13.1	19.1
Margin Analysis			
Gross Margin	35.4	30.8	30.3
EBITDA Margin	12.1	8.5	9.3
Net Income Margin	6.9	4.1	4.8
Short-Term Liquidity			
Current Ratio	1.3	1.1	1.1
Quick Ratio	0.8	0.7	0.7
Avg. Days Sales Outstanding	37	36	30
Avg. Days Inventory Outstanding	27	23	22
Avg. Days Payables	35	32	24
Fixed asset turnover	3.8	4.3	5.6
Debt-service coverage	2.1	1.0	0.7
Long-Term Solvency			
Total Debt / Equity	0.1	0.3	0.5
Interest Coverage Ratio	14.6	15.6	16.7
Valuation Ratios			
EV/EBITDA	30.2	33.4	24.8
PER	52.3	67.3	45.2
P/B	8.9	8.8	8.6

Peer Comparison

	ASK Automotive Ltd	Uno Minda Ltd	Endurance Technologies Ltd	Suprajit Engineering Ltd	Bharat Forge Ltd
CMP	282.0	580.0	1,718.0	390.0	1,054.0
Sales (Rs cr)	2,555.2	11,236.0	8,804.0	2,752.0	12,910.0
EBITDA (Rs cr)	236.4	1,242.0	1,036.0	313.0	1,737.0
Net Profit (Rs cr)	123.0	700.0	480.0	152.0	508.0
M.Cap (Rs Cr)	5,559.4	33,239.0	24,171.0	5,398.0	49,068.0
Enterprise Value (Rs cr)	5,875.1	34,461.0	24,398.0	6,008.0	55,293.0
EBITDA Margin (%)	9.3	11.1	11.8	11.4	13.5
Net Margin (%)	4.8	6.2	5.5	5.5	3.9
PE(x)	45.2	48.3	44.8	34.2	75.0
EV/EBITDA	24.8	27.7	23.6	19.2	31.8
RoE (%)	19.1	17.1	11.3	13.2	6.9
RoCE (%)	19.4	18.1	13.8	15.3	7.7

The data is based on FY23 financial data, For ASK Automotive Limited the Market cap, PE(x), and EV/EBITDA are calculated on post-issue equity share capital based on the upper price band.

CMP as on 7th November'23.

Source: RHP, SSL Research

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